

ESI reinforces stagflation fears

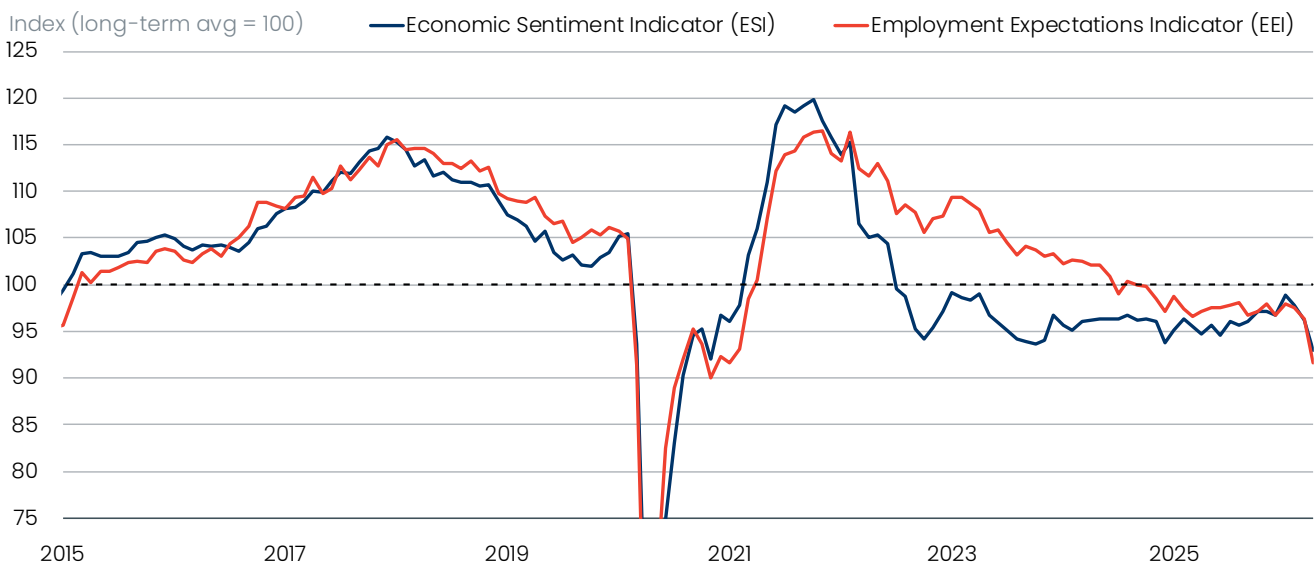
- Today's Economic Sentiment Indicator (ESI) reinforced the negative tone from monthly surveys. A large monthly drop left the headline measure at its lowest level since the pandemic, with the sectoral and country-level figures pointing to a broad-based decline in sentiment.
- Employment expectations painted an even bleaker picture, with the monthly fall comparable to those observed during the pandemic and global financial crisis. Pronounced rises in price expectations reinforced fears that the Eurozone may be staring at stagflation. While initial German and Spanish inflation data for April undershot expectations, surveys are signalling towards higher-than-expected inflation.
- Today's docket also included money and lending figures for March didn't show obvious war effects, with the broad story broadly unchanged from previous months. This is not a huge surprise given loan applications take a few months and money trends also respond with some delay. But credit is likely to come under pressure in coming months amid higher uncertainty, risk aversion and a slight increase in interest rates.

The ESI headline plummeted 3.2pts to 93, its lowest level since the pandemic, and the single largest monthly drop since September 2022. After reaching a near-three year high around 99 in January, today's release underscores the sizable deterioration in the outlook brought by the war in Iran.

The fall was broad-based across sectors. But services, retail and consumer sentiment remained particularly under pressure in April, while manufacturing and construction were relatively more resilient. This is in line with other surveys amid some order front-loading, but the initial resilience from manufacturing may prove temporary given today's report showed a large drop in production expectations. Falls were also widespread at the country level, with Germany, France and Italy showing sharp monthly declines, while Spain showed a more modest fall.

Chart 1: The ESI experienced a broad-based fall

Eurozone: Economic sentiment and employment indicators



Sources: Oxford Economics, Haver Analytics

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Selling price expectations increased dramatically across all sectors, climbing to their highest level since 2022. For the second month in a row, the increase was largest in industry, with all business sectors price expectations standing well above their long-term average. More clear signs of a sharp increase in inflation expectations will certainly attract attention from members of the European Central Bank, given the legacy of the inflation shock in 2022-23. A hike at tomorrow's meeting remains unlikely, but the surge in inflation expectations is one more piece of evidence to back our call for a hike in both June and July.

This is despite the fact that the initial inflation prints for April undershot expectations slightly. State-level data suggests German inflation rose to 2.8%, while it fell by 0.2pts to 3.2% in Spain. Core inflation slowed to 2.2% y/y and 2.8% in Germany (estimated based on regional figures) and Spain respectively with package holiday prices softening, partly due to earlier Easter timing. But surveys dampen any optimism from today's inflation data, and high global energy prices will keep a floor under inflation over the coming months.

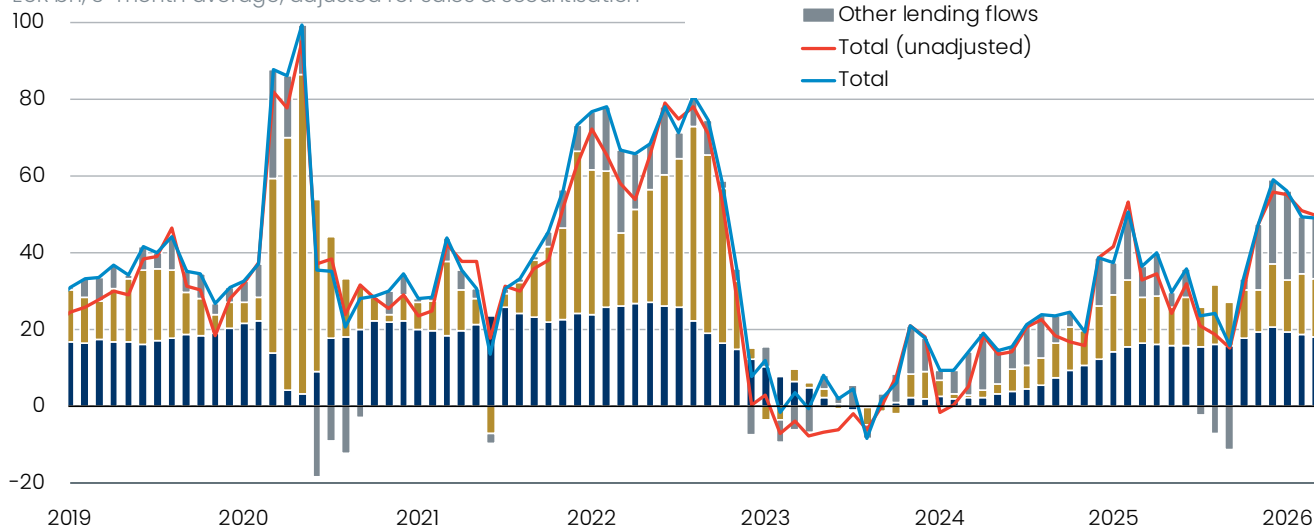
Finally, March figures on Eurozone bank lending and broad money didn't show any obvious war effects, with the story broadly unchanged from previous months. This is not a huge surprise given loan applications take a few months and money trends also respond with some delay. Loans to households were stable in March, with the monthly flows unchanged at €19bn. Mortgage lending remains the key driver within this loan segment, but the data suggest loan momentum is softening at the margin. After peaking at €19bn in December, some gradual easing saw mortgage flows ease to a six-month low under €13bn in March. The slight decrease in mortgages was compensated by some pickup in consumer credit and other lending.

Business lending remains more volatile. March posted a solid pickup in credit flows, but this is partly a bounce from a sluggish start to the year. This point is reinforced by the fact that the shorter loan maturities showed strength in March after being under pressure in the last couple of months. Long-term loans showed the opposite trend, reversing some of recent momentum. While we will keep a close eye on this category in coming months to glimpse how investment trends are being impacted by higher energy prices and uncertainty, we would caution against overplaying the significance of March's reading given it's likely too premature to see clear impacts.

Chart 2: Credit flows were broadly stable in March, but pressure will likely build over coming months

Eurozone: Lending flows

EUR bn, 3-month average, adjusted for sales & securitisation



Sources: Oxford Economics, Haver Analytics

All told, both household and business loans rose around 3% y/y in March, maintaining a more positive backdrop than in 2023/2024 when lending was broadly stagnant. But this pace of growth remains below historical trends, and that's unlikely to change in coming months as signalled by yesterday's somewhat subdued Bank Lending

Survey. Broad money growth paints a similar picture, with growth of 3.2% y/y in March representing a seven-month high but remaining well below the long-run average above 5%.